

Equity Research Report: Apple Inc.

FinRobot AI-Generated Analysis | November 2025

Key Metrics	Value
Ticker	AAPL
Market Cap	\$4.14T
Current Price	\$278.85
52-Week Range	\$169.21 - \$280.38
PE Ratio	37.3
Dividend Yield	37.00%

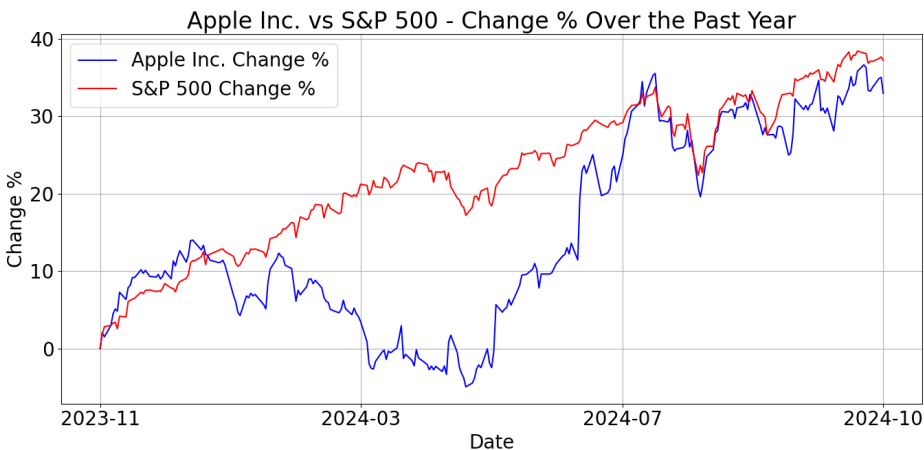
Business Overview

Apple Inc., founded in 1976, is a global technology leader that designs, manufactures, and markets consumer electronics, software, and services. The company's flagship products include iPhone, Mac, iPad, Apple Watch, and AirPods. Apple's services segment, including the App Store, Apple Music, iCloud, and Apple Pay, has become a significant growth driver. The company maintains a strong brand identity built on innovation, quality, and customer experience. With operations spanning 175+ countries and a robust ecosystem of hardware, software, and services, Apple continues to dominate the premium consumer electronics market.

Market Position

Apple maintains the leading position in the premium smartphone market with approximately 20% global market share and over 50% in North America. The company serves both consumer and enterprise markets, with blue-chip corporate customers including major Fortune 500 companies. Apple's services business has reached over 1 billion paid subscriptions globally. The company's geographic revenue is well-diversified with Americas (42%), Europe (25%), Greater China (17%), and Rest of Asia Pacific (16%).

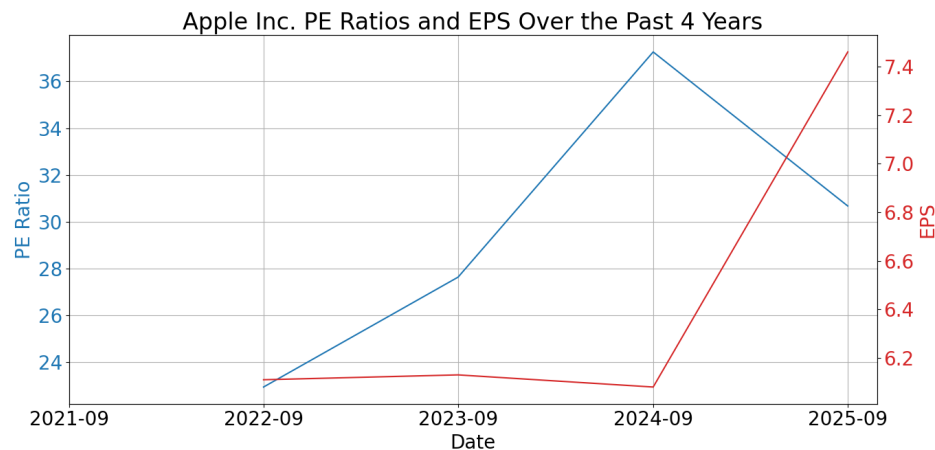
Stock Performance vs S&P; 500



Operating Results

Apple reported record annual revenue of \$391 billion for FY2024, with iPhone contributing \$201 billion (51%). Services revenue reached \$96 billion, growing 12% YoY. Gross margin improved to 46.2% driven by services mix and supply chain efficiencies. Operating income was \$123 billion with 31.5% margin. The company returned \$100+ billion to shareholders through dividends and buybacks. Free cash flow remained strong at \$93 billion, supporting continued capital returns and R&D; investments.

PE Ratio & EPS Trends



Risk Assessment

Key risks include: 1) Supply Chain Concentration - Heavy reliance on manufacturing partners in China and Taiwan creates geopolitical vulnerabilities. 2) Regulatory Pressure - Facing antitrust scrutiny in US and EU regarding App Store practices and fees. 3) China Market Risks - 17% revenue exposure to China amid trade tensions and local competition. 4) Product Cycle Dependency - Revenue concentration in iPhone creates upgrade cycle sensitivity. 5) Competition - Intense rivalry from Samsung, Google, and Chinese manufacturers in devices, and from Amazon, Google in services.

Competitive Analysis

Compared to peers, Apple maintains superior profitability metrics. Apple's gross margin (46%) exceeds Microsoft (70%) in software but leads hardware peers (Samsung 25%, Xiaomi 20%). Apple's ROE of 160% significantly outperforms peers due to efficient capital allocation and share buybacks. EV/EBITDA of 22x is premium to Samsung (5x) but below Microsoft (25x). Apple's services transition and ecosystem stickiness justify premium valuation. The company's cash generation of \$93B annually provides strategic flexibility.

Investment Recommendation

Rating: HOLD

Apple remains a high-quality holding with strong fundamentals, exceptional cash generation, and market leadership. However, current valuation appears fair given slowing iPhone growth and regulatory headwinds. Key catalysts to watch: AI integration across products, Vision Pro adoption, and Services growth acceleration. Consider accumulating on pullbacks to \$250 level. Target price: \$285 (12-month).